

Meridian Financial Services Ltd

Annual Report 2024

Executive Summary

Meridian Financial Services Ltd is a regulated payment processing and digital asset custody firm operating across the EU economic zone. In 2024 the firm processed EUR 2.4 billion in transaction volume across 18 jurisdictions. The firm employs 312 staff across offices in Frankfurt, Amsterdam, and Dublin.

Financial Position

As of 31 December 2024, Meridian maintains a Tier 1 capital ratio of 8.2%, which falls below the recommended regulatory threshold of 10%. Management has acknowledged this shortfall and has committed to a capital raise of EUR 15 million in Q2 2025. The liquidity coverage ratio stands at 94%, against a minimum requirement of 100%. The leverage ratio is 4.1x, within acceptable bounds. Total assets: EUR 480 million. Total liabilities: EUR 395 million. Net profit for 2024: EUR 6.2 million, down 18% from EUR 7.6 million in 2023.

Regulatory and Compliance History

In March 2023, ORION issued a formal warning to Meridian for a delay in suspicious transaction reporting under AML Directive Article 33. The firm remediated the reporting process within 60 days and no further action was taken. In September 2024, the firm received a minor administrative sanction of EUR 25,000 from the Dutch AFM for a late regulatory filing. No criminal proceedings or licence suspensions have occurred. The firm is currently subject to a routine supervisory review by the Frankfurt BaFin, expected to conclude in Q3 2025. KYC documentation coverage stands at 91% of active clients. The remaining 9% are flagged for enhanced due diligence review, which is ongoing.

Business Activities

The firm operates across two primary business lines: (1) payment processing for e-commerce merchants, accounting for 68% of revenue, and (2) digital asset custody services for institutional clients, accounting for 32% of revenue. The top five clients account for 41% of total revenue, indicating moderate client concentration risk. The firm holds no proprietary trading positions. Declared activities for the current authorization period include: payment processing, digital asset custody, and foreign exchange conversion services.

Technology Infrastructure

Core payment processing infrastructure is hosted on AWS EU-West. The firm completed a SOC 2 Type I audit in 2023 but has not yet completed the Type II audit, which was scheduled for late 2024 and is now delayed to mid-2025. No major security incidents were reported in 2024. The firm does not currently hold ISO 27001 certification.